

Version Number	1.8
Policy Inception Date	1 st June 2018
Process Owner	Head, Global C&B
Applicability	Applicable to permanent India-based employees who have completed 4 years and 190 days of continuous service in the organization.

Objective:

To provide payment of gratuity to all eligible employees of Mphasis.

Scope:

Applicable to eligible permanent employees in the organization based in India.

Policy Description:

- **Permanent Employees:** Employees who have completed **4 years and 190 days (4.6 years) of continuous service*** with the organization as of their last working date shall be eligible for gratuity.
- Gratuity contribution will be as per Gratuity Act.
- Gratuity is part of employee compensation.
- On attaining the minimum eligibility for Gratuity claim, six months and above shall be rounded off to the next one year.
- Gratuity calculation shall be based on the following method: Last drawn basic salary x 15/26 x Number of completed years of service or Number of days.

Formerly, for EDS employees (except BPO), gratuity contribution was calculated as: Last drawn basic salary x 30/30 x Number of completed years of service and it was part of employee CTC till March 31, 2007.

Effective April 1, 2007, EDS employees are aligned to Mphasis Gratuity Policy and given below is the calculation:

- Employees resigning after April 1, 2007:
 - Gratuity calculation from the Date of Joining till 31st March 2007 will be: Last drawn basic salary x 30/30 x Number of completed years of service.
 - Gratuity calculation from the 1st April 2007 till Last Working date will be: Last drawn basic salary x 15/26 x Number of completed years of service.

***Continuous Service** - For the purpose of this Act, in the case of a female employee who has been on maternity leave, the maternity period of 26 weeks will be considered as continuous service for the purpose of calculating gratuity.

Scenarios under which Gratuity will be processed:

1. For onsite transfers – For Gratuity payment only India tenure will be considered. (ie, 5 years in India is mandatory as per Gratuity Act)
2. Employees who worked in India for 2 years, and who worked in onsite for 3 years – They will be paid Ex-gratia and not Gratuity

Refer the excel spreadsheet “Gratuity & Ex-Gratia Calculation” for calculation details. (Hosted on Policy document portal as annexure under the Gratuity folder)

Annexure to the Policy

- Annexure A: Gratuity Claim Form
- Gratuity & Ex-Gratia Calculation

Policy Revision History

Serial No.	Version No.	Date of Change	LT2 Approver	Sections Affected	Changes in Brief
1	1.0	01-Apr-2007	-----	Initial Draft	Initial Draft
2	1.1	01-Jan-2010	-----	Policy Description	If an employee works for more than 240 days in the last year of service, that shall be treated as a year for calculating the gratuity.
3	1.2	30-Jun-2011	-----	Applicability and Scope and policy description Annexure	Applicable to permanent employees who have completed 4.8 years of continuous service in the organization. Inclusion of Gratuity Claim form as annexure
4	1.3	01-Jan-2012	-----	Policy Description	Permanent employees who have completed 4.8 years (4 years and 240 days) of continuous service in the organization as on the last working date shall be eligible for gratuity
5	1.4	01-Sep 2017	-----	Applicability & Policy Description	Permanent employees who have completed 4.6 years (4 years and 190 days) of continuous service in the organization as on the last working date shall be eligible for gratuity
6	1.5	28-Mar-2018	-----	Policy Description	Defined the scope of continuous service for the purpose of gratuity payment.
7	1.6	28-Jan-2019	Manikantan T/Gokul S/Bamini G	Policy Description	Added the scenarios & calculation method for Gratuity payment
8	1.7	31-May-2024	Bamini G	All sections	Overall policy reviewed – No changes made
9	1.8	03-June-2026	Srinath Sridharan	All Sections	Overall policy reviewed